

The Government Employees Insurance Company (GEICO) was founded in 1936 by Leo Goodwin, an insurance accountant.⁹ He envisioned a company that insured only preferred-risk drivers and sold this insurance directly by mail. He had discovered that government employees, as a group, had fewer accidents than the general public. He also knew that by selling directly to the driver, the company would eliminate the overhead associated with agents, typically 10 to 25 percent of every premium dollar. Goodwin figured that if he isolated careful drivers and passed along the savings from issuing insurance policies directly, he would have a recipe for success.

Goodwin invited a Fort Worth, Texas, banker named Cleaves Rhea to be his partner. Goodwin invested \$25,000 and owned 25 percent of the stock; Rhea invested \$75,000 for 75 percent. In 1948, the company moved from Texas to Washington, D.C. That year, the Rhea family decided to sell its interest in the company, and Rhea enlisted Lorimer Davidson, a Baltimore bond salesperson, to help with the sale. In turn, Davidson asked David Kreeger, a Washington, D.C., lawyer, to help him find buyers, and Kreeger approached the Graham-Newman Corporation. Ben Graham decided to buy half of Rhea's stock for \$720,000; Kreeger and Davidson's Baltimore associates bought the other half. The Securities and Exchange Commission forced Graham-Newman, because it was an investment fund, to limit its holdings of GEICO to 10 percent of the company, so Graham had to distribute GEICO's stock to the fund's partners. Years later, when GEICO became a billion-dollar company, Graham's personal shares were worth millions.

Lorimer Davidson, at Goodwin's invitation, joined GEICO's management team. In 1958, he became chairman and led the company until 1970. During this period, the board extended the eligibility for GEICO's car insurance to include professional, managerial, technical, and administrative workers. GEICO's insurance market now included 50 percent of all car owners, up from 15 percent. The new strategy was a success. Underwriting profits soared because the new group of drivers turned out to be just as careful as government employees.

These were the company's golden years. Between 1960 and 1970, insurance regulators were mesmerized by GEICO's success, and shareholders saw their share price soar. The company's premium-to-surplus